The farman granted by the emperor was economically disadvantageous for Indians in that it required no taxation on any items bought locally to sell in European markets. Bengal stood to lose millions of pounds of income while the British company gathered immense wealth. In addition to the formal business being conducted throughout Britain's numerous on-site factories and trading posts, many members of the East India Company were making illegal transactions outside the jurisdiction of the company. By the early part of the 18th century, Bengal's representatives had had enough.

When Emperor Aurangzeb died in 1707, the Mughal Empire lost a great deal of its influence and power over the nation. Regional rulers known as nawabs preferred to journey home and administrate locally. The same was true for Bengal's nawab, Murshid Quli Khan. He returned to Bengal with a great feat ahead of him: controlling the unwieldy operations of the East India Company. Khan tried frantically to bring the British traders to heel, but they were firmly implanted on the landscape and equipped with masses of their own soldiers. Khan was relegated to liaison between his native people and the company, as were his successors.

By 1857, the Mughal Empire had come to an end with the death of the last emperor, Bahadur Shah II, and the country was thrown into chaos and uncertainty. The empire was broken, British aristocracy had control over most of the country, and there was little the regional leaders could do to fight the powerful British Empire. In Calcutta, the EIC was ordered to stop fortification efforts around their city by the Nawab of Bengal, Siraj ud-Daulah—and his instructions were ignored. The company was finished with diplomacy.